

CSIS JAPAN CHAIR

7:08 AM ET

1,537 words · 6 min read

# ● Japan Daily Brief

Tuesday, September 8, 2026

**RE:** Yen surges past 153 on BOJ hike bets · China anti-dumping on chip chemical · Freedom Edge · reshuffle continuity

NIKKEI 225  
**65,269.33**  
▲ +1.47%  
as of Sep 8

USD/JPY  
**154.26**  
▼ -3.71%  
as of Sep 8

EUR/JPY  
**179.13**  
▼ -3.53%

BRENT  
**\$98.67**  
▲ +3.18%

10Y JGB  
**1.50%**  
yield

JAPAN 5Y CDS  
**20 bps**  
— flat

BOJ POLICY RATE  
**1.00%**

GDP (ANNUALIZED)  
**1.4%**  
Cabinet Office · latest Q (annualized)

## TODAY AT A GLANCE

- 1 Watch the yen: it strengthened from ¥160 to below ¥153 in under a week on hawkish BOJ bets, with Bessent telling Ueda the US supports a stronger yen.
- 2 Beijing imposed provisional anti-dumping duties of up to 99.2% on Japanese dichlorosilane, a semiconductor material, drawing a Japanese demand for withdrawal.
- 3 US-Japan-ROK opened five-day Freedom Edge drills near Jeju as North Korea commissioned its second nuclear-capable destroyer and Kim Jong Un vowed a nuclear-armed navy.

## TOP STORIES

### ECONOMY-BOJ

#### Yen dashes across ¥153, strongest since February, as BOJ hike bets build

The yen strengthened from ¥160 to below ¥153 against the dollar in less than a week, its strongest level since February, on bets for faster BOJ rate hikes. July nominal wages surged 4.7% — the fastest in nearly 30 years — and Q2 GDP was revised up to 1.4% annualized, fueling September hike expectations.

**So what:** A September BOJ hike would compress the carry trade and hit exporter earnings, with Japanese carmakers already bracing for a profit hit from the stronger currency.

per The Japan Times: "Yen makes dash across ¥153, raising possibility that trend has turned"

THE JAPAN TIMES

### CHINA-JAPAN

## China imposes provisional anti-dumping duties on Japanese chip chemical

Beijing's Commerce Ministry required companies importing Japanese dichlorosilane to post cash deposits of up to 99.2% from Tuesday under provisional anti-dumping measures. Chief Cabinet Secretary Minoru Kihara urged China to withdraw the measures and said Tokyo would assess the impact.

**So what:** The duties add an economic-coercion vector to the China-Japan relationship as Takaichi seeks a late-September Trump meeting timed around a prospective US-China summit.

per The Japan Times: "[China hits Japan with anti-dumping measures on chip chemical](#)"

THE JAPAN TIMES

DPRK

## North Korea commissions second nuclear-capable destroyer as trilateral drills open

Kim Jong Un said North Korea's newly commissioned second Choe Hyon-class guided-missile destroyer — the vessel that capsized on its May 2025 launch — is part of Pyongyang's nuclear response system and pledged a nuclear-armed navy. The commissioning coincided with the opening of five-day US-Japan-ROK Freedom Edge drills near Jeju Island, which North Korea's defense minister condemned.

**So what:** The commissioning and drills raise the stakes for trilateral coordination and Japan's Nansei-facing defenses ahead of any Takaichi-Trump agenda.

per Reuters: "[North Korea's Kim Jong Un says new destroyer part of nuclear response system - Reuters](#)"

REUTERS

POLITICS-DIET

## Takaichi to keep key ministers, LDP leaders in reshuffle for stability

Prime Minister Sanae Takaichi is expected to retain key ministers and LDP leaders in personnel changes reported for around September 16, a decision framed as opting for stability ahead of the autumn Diet session. Takaichi has secured discretion over the LDP leadership reshuffle.

**So what:** Continuity in economic and foreign-policy posts would preserve the negotiating team ahead of a sought late-September Takaichi-Trump meeting.

per The Japan Times: "[Key ministers, LDP leaders expected to keep positions amid personnel changes](#)"

THE JAPAN TIMES

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### OVERNIGHT FLASH

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POLITICS-DIET · THE JAPAN TIMES

### Japan tightens rules on private jet pilots with three-strikes system at Haneda

A penalty system targeting business-jet pilots is being tested at Haneda Airport, a major hub for such flights. There are no plans yet to expand it to other airports.

ALLIANCE · THE JAPAN TIMES

### Japan lacks confidence US ties will improve after Trump, survey finds

Japan views the US as a necessary partner but has low confidence Washington will become a better ally after Donald Trump's second term ends. The finding underscores Tokyo's hedging as it seeks a late-September Takaichi-Trump meeting.

POLITICS-DIET · MAINICHI

## Japan names new envoys to EU, Iran and five other countries

The government announced ambassadorial appointments to the EU, Iran and five additional countries. The postings come as Takaichi prepares a Cabinet and LDP reshuffle around Sept 16.

STAT OF THE DAY

# 99.2%

Max cash-deposit rate on Japanese dichlorosilane

*China's Commerce Ministry required cash deposits of up to 99.2% on imports of the Japanese chip chemical from Tuesday under provisional anti-dumping measures.*

Source: China hits Japan with anti-dumping measures on chip chemical - Japan Times

## REGIONAL PRESSURE WATCH

Elevated — 31 items (Japanese government 11, adversary signal 20)

**PM Watch:** No confirmed PM appearance today · 1 day(s) since last confirmed appearance

### CHINA

China's Commerce Ministry imposed provisional anti-dumping measures on Japanese dichlorosilane, requiring cash deposits of up to 99.2% from Tuesday; Japan urged withdrawal and said it would assess impact on chip supply chains. Chinese Foreign Ministry Spokesperson Mao Ning held the September 7 regular press conference, with Global Times reiterating history-issue framing toward Japan.

### NORTH KOREA

North Korea commissioned its second nuclear-capable Choe Hyon-class destroyer — the vessel that capsized on its May 2025 launch — with Kim Jong Un calling it part of Pyongyang's nuclear response system and vowing a nuclear-armed navy; the DPRK defense minister condemned the US-Japan-ROK Freedom Edge drills that opened near Jeju.

**Senkaku / ECS:** No new Senkaku CCG intrusion or acute China-Japan maritime incident appears in today's articles; economic coercion via the dichlorosilane anti-dumping measure is the day's China-Japan pressure vector.

*"part of nuclear response system"*

Kim Jong Un · North Korea's Kim Jong Un says new destroyer part of nuclear response system - Reuters

**Bottom line:** The China-Japan economic-coercion channel opened with anti-dumping duties on a chip chemical while North Korea commissioned a second nuclear-capable destroyer as trilateral drills began; watch Japan's WTO/response posture and BOJ signaling into late September.

## OP-EDS, COMMENTARIES & EVENTS

## ACADEMIC JOURNALS

APJ: JAPAN FOCUS · B

**Infrastructure as Destiny: Japan's Contest with China for the Future of Central Asia**

The article frames Japan's infrastructure engagement in Central Asia as a contest with China over the region's future. It examines how Tokyo's connectivity and development investments position it against Beijing's Belt and Road footprint.

PUBLIC SENTIMENT & APPROVAL POLLING

| POLLSTER                          | APPROVE | DISAPPROVE | VS PRIOR |
|-----------------------------------|---------|------------|----------|
| JNN · Sep 7, 2026                 | 62.5%   | 34.9%      |          |
| Nikkei · Sep 5, 2026              | 62%     | 32%        |          |
| Asahi · Sep 5, 2026               | 53%     | 33%        |          |
| ANN · Sep 5, 2026                 | 55.4%   | 29.9%      |          |
| Kyodo · Sep 5, 2026               | 50.2%   | 33.9%      |          |
| Mainichi · Jul 20, 2026 · 50d ago | 41%     | 44%        |          |
| Yomiuri · Sep 5, 2026             | 56%     | 32%        |          |
| FNN · Sep 5, 2026                 | 62.5%   | 32%        |          |
| NHK · Sep 5, 2026                 | 52.8%   | 33.2%      |          |
| Jiji · Jul 16, 2026 · 54d ago     | 48.4%   | 26.9%      |          |

**Discourse:** Cabinet approval readings diverge sharply by pollster — Nikkei 62%, Yomiuri 56% (called a record low), NHK 53% (lowest since start), and Kyodo/Mainichi in the low-40s/50s — amid fiscal-health worries after a tax-cut plan.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · TUESDAY, SEPTEMBER 8, 2026

日本銀行 · BANK OF JAPAN / MINISTRY OF FINANCE · Kazuo Ueda, BOJ Governor; Scott Bessent, US Treasury Secretary

Bessent tells Ueda the US supports efforts to strengthen the yen

US Treasury Secretary Scott Bessent conveyed to BOJ Governor Kazuo Ueda that Washington backs a stronger yen; Bessent separately signaled an end to Abenomics as he pressed the BOJ.

→ Asahi ↗

PERSONNEL CHANGES

APPOINTED

Ambassadors to EU, Iran and five other countries  
Japan announced new ambassadorial appointments covering the EU, Iran and five additional countries.

DIET SESSIONS / LDP

DPP

Mainichi editorial questions DPFP's opposition role

A Mainichi editorial examined whether the Democratic Party for the People can become the central opposition force amid a split opposition.

UPCOMING

- SEP  
12

**Freedom Edge 2026 trilateral drills (running)**  
US-Japan-ROK began a five-day exercise near Jeju Island; North Korea's defense minister warned of consequences.
- SEP  
16

**Expected Cabinet and LDP leadership reshuffle**  
Takaichi is expected to reshuffle the Cabinet and LDP leadership around Sept 16, prioritizing continuity and US-savvy ministers.
- SEP  
22

**PM Takaichi to address UN General Assembly**  
Takaichi is confirmed to speak at the UNGA on September 22; her office is separately seeking a Takaichi-Trump meeting in late September.
- SEP  
30

**Sought Takaichi-Trump talks in late September**  
Japan is seeking a Takaichi-Trump meeting in the US in late September, timed around a prospective US-China summit.
- OCT  
1

**Next BOJ Monetary Policy Meeting (estimated)**  
Markets are pricing a September rate hike after July nominal wages surged 4.7% and Q2 GDP was revised to 1.4% annualized; timing per BOJ calendar, verify.

US-JAPAN ALLIANCE & TRADE

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)

|          |     |             |
|----------|-----|-------------|
| Steel    | 50% | SECTION 232 |
| Aluminum | 50% | SECTION 232 |

Investment framework: \$550B strategic investment framework (2025 agreement)

Section 301: 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired Jul 24, 2026

## BUSINESS &amp; ECONOMY

MACRO · REUTERS

**Japan upgrades Q2 GDP to 1.4% annualized on capex improvement**

Japan revised April-June GDP up to 1.4% annualized growth as the decline in capital expenditure narrowed, reinforcing September BOJ rate-hike expectations.

MACRO · REUTERS

**Japan July real wages rise 2.4%, biggest gain since 2021**

Real wages rose 2.4% in July, the largest gain since 2021, while nominal wages surged 4.7% — the fastest in nearly 30 years — bolstering the case for a September BOJ hike.

FINANCE · NIKKEI ASIA

**Corporate Japan's ROE stalls despite record profits as weak yen swells equity**

Corporate Japan's return on equity has stalled even amid record profits, as a weak yen inflated equity values.

AUTO · MAINICHI

**Foreign buyers intensify competition for Japan's used cars**

Foreign buyers are turning up competition for Japan's used cars, driving up prices in the secondhand market.

## INDO-PACIFIC

TRILATERAL · YONHAP

**US-Japan-ROK kick off five-day Freedom Edge trilateral exercise**

The three countries began a five-day Freedom Edge exercise near Jeju Island as Seoul separately signals interest in talks with Pyongyang.

DPRK · REUTERS

**North Korean defense minister condemns US-Japan-ROK joint drills**

North Korea's defense minister criticized the trilateral Freedom Edge exercise and warned of consequences.

INDO-PACIFIC · NIKKEI ASIA

**Mitsui exports Indian-made electric buses to Africa**

Japanese trading house Mitsui is exporting Indian-built electric buses to Africa, deepening Japan-India industrial links.

## ALSO TODAY / THE WIRE

ECONOMY · THE JAPAN TIMES

**Japanese carmakers brace for profit hit as yen strengthens**

With the yen just above ¥153 against the dollar, its strongest since February, Japanese automakers face a profit hit from the currency's surge.

DEFENSE · NIKKEI ASIA

**Japanese shipbuilder to produce drone boats, eyeing Japan and US orders**

A Japanese shipbuilder plans to produce uncrewed drone boats, targeting orders from Japan and the US.

TECHNOLOGY · NIKKEI ASIA

**Japan consortium extends perovskite solar cell life by 50%**

A Japanese consortium reported extending the operating life of perovskite solar cells by 50%.

POLITICS · THE GUARDIAN

**Tokyo's Shinjuku ward bans short-term rentals amid complaints**

Shinjuku ward will ban visitors from thousands of short-term rentals in residential areas and near cultural sites, a sign of hardening patience with mass tourism.

## ON THIS DAY

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SEPTEMBER 8, 1951

**The San Francisco Peace Treaty was signed, ending the Allied Occupation of Japan; the original US-Japan Security Treaty was signed the same day.**

*The alliance foundation laid on this date frames today's late-September push for a Takaichi-Trump summit and Japan's hedging on US reliability post-Trump.*

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CSIS JAPAN CHAIR · JAPAN DAILY BRIEF · GENERATED 7:08 AM ET

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